IN THE NATIONAL COMPANY LAW TRIBUNAL
SINGLE BENCH, CHENNAI

CP/509/CAA/2019
In
CA/148/CAA/2019

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Arrangement

(Demerger)

Of

M/s. NET RESOURCES INVESTMENTS PRIVATE LIMITED

... Demerged Company

With

M/s. ISAAC ENTERPRISES PRIVATE LIMITED

... Resulting Company

And

Their respective Shareholders

Order delivered on 5th July, 2019

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CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

For Petitioner(s) : Mr. P. Sriram, PCS

ORDER

Per: CH. MOHD SHARIEF TARIQ, MEMBER (J):

1. Under consideration is the Company Petition No.509/CAA/2019 filed under Sections 230 to 232 of the

Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. As per the Scheme of Arrangement (in short, **'Scheme'**), except the Real Estate Division, all other business concerns of *"M/s. Net Resources Investments Private Limited"* (hereinafter referred to as **'Demerged Company'**) will merge with *"M/s. Isaac Enterprises Private Limited"* (hereinafter referred to as **'Resulting Company'**) as a going concern.

2. The Demerged Company was incorporated on 04.12.2000 under the provisions of the Companies Act, 1956 with the Registrar of Companies, Karnataka at Bengaluru. Subsequently, the Registered Office was changed to the State of Tamilnadu, pursuant to the order from Regional Director dated 20.03.2018. The Registered Office of the Demerged Company is situated at New No.29, Old No.33, X Block, 5th Street, Anna Nagar, Chennai, Tamilnadu – 600 040.

3. The Resulting Company was incorporated on 16.10.2017 under the Companies Act, 2013 and having its

Registered Office at New No.29, Old No.33, X Block, 5th Street, Anna Nagar, Chennai, Tamilnadu – 600 040.

4. The Demerged Company is carrying on the business of design, selling, providing of service and consulting in the field of computerization, systems development applications software, onsite and offshore, etc. The details of the main objects are set out in the Memorandum of Association of the Demerged Company.

5. The Resulting Company is engaged in the business to establish design, develop, maintain, organize, conduct, provide or make available consulting services in and outside of India covering all branches of services including management, commercial, business, statistical, financial, accountancy, engineering, communication and other technological social or other services and products towards designing, building and managing business process, technology, etc. The details of the main objects are set out in the Memorandum of Association of the Resulting Company.

6. The Board of Directors of the Demerged and Resulting Companies vide their Resolution(s) dated 09.11.2018 have approved the Scheme. The other necessary requirements have also been fulfilled as per the Order dated 22.02.2019 passed by this Bench in CA/148/CAA/2019.

7. The Counsel appearing for the Petitioner Company submitted that the reasons and circumstances leading to and justifying the proposed Scheme, which make it beneficial for both the Companies concerned, including their members and creditors. The proposed Scheme will enable the Demerged Company to focus and enhance its Real Estate business operations by streamlining operations and cutting costs. The Scheme would provide synergistic linkages besides economics in costs and other benefits resulting from the economies of scale, by combining the similar line of businesses and operations of the Transferred Undertaking of the Demerged Company with the Resulting Company and thus contribute to the profitability of the Resulting Company by rationalization of management and administrative structure. Further, the Scheme will enable the investors to

separately hold investments which best suit their investment strategies and risk profiles.

8. The Clause 5.1 of Part – II of the Scheme stipulates that with effect from the Appointed Date, the entire Transferred Undertaking of the Demerged Company shall, subject to the provisions of this Scheme and pursuant to the provisions of Section 230 to 232, of the Companies Act, 2013 and without any further act, instruments, deed, matter to thing, but subject to the charges affecting the same as on the Effective date, be transferred to and vested in the Resulting Company, as a *'going concern'*, in accordance with Section 2(19AA) of the IT Act, so as to become the business, assets, properties and liabilities of the Resulting Company along with all the rights, titles and interests of the Demerged Company therein, subject however to the subsisting charges and pledges, if any and the rights retained by the Demerged Company and accepted by the Board of Directors of the Resulting Company.

9. The Statutory Auditors of the Demerged Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that Accounting treatment is in compliance with Section 133 of the Companies Act, 2013 read with applicable Accounting Standards issued by the Institute of Chartered Accountants of India and notified by the National Advisory Committee on Accounting Standard, Ministry of Corporate Affairs vide Notification No. G.S.R. 739(E) dated 07.12.2006 applicable to the Resulting Company as on 01.10.2018, being the Appointed Date for the Scheme.

10. The Regional Director, Chennai (in short, '**RD**') in his Affidavit dated 03.05.2019 submitted that Clause 6 of Part II of the Scheme protects the interest of the employees / staff of the Demerged undertaking.

11. The RD has further submitted that as per the report of RoC, Chennai, the Demerged Company as well as the Resulting Company are regular in filing its statutory returns. Further, in respect of both the Companies, there is no

prosecution filed, no complaints pending and no inspection/investigation has been conducted/pending. In result, the RD after examining the Scheme and the applications filed therewith has decided not to make any objection to the Scheme.

12. The Scheme will not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of any class of the creditors in any manner. There is no requirement to modify the proposed Scheme. The Scheme of Arrangement (Demerger) appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under section 230 to 232 of the Companies Act, 2013.

13. Therefore, the Scheme annexed with Petition stands sanctioned. The Scheme sanctioned shall be binding on all the Equity Shareholders, the Creditors of the Demerged Company, the Resulting Company and on all their respective employees. The Scheme shall become effective from the Appointed Date viz., **01.10.2018**.

14. However, it is further clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

15. The Companies to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

16. The Petitioner Company shall file with the concerned Registrar of Companies the certified copy of this Order within 30 days of the receipt of the order.

17. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and

Amalgamations) Rules, 2016 notified on 14th December, 2016.

18. Thus, the Scheme stands sanctioned and CP/509/CAA/2019 stands **disposed of**.

-SD-
(CH. MOHD SHARIEF TARIQ)
MEMBER (JUDICIAL)

RAYMOND